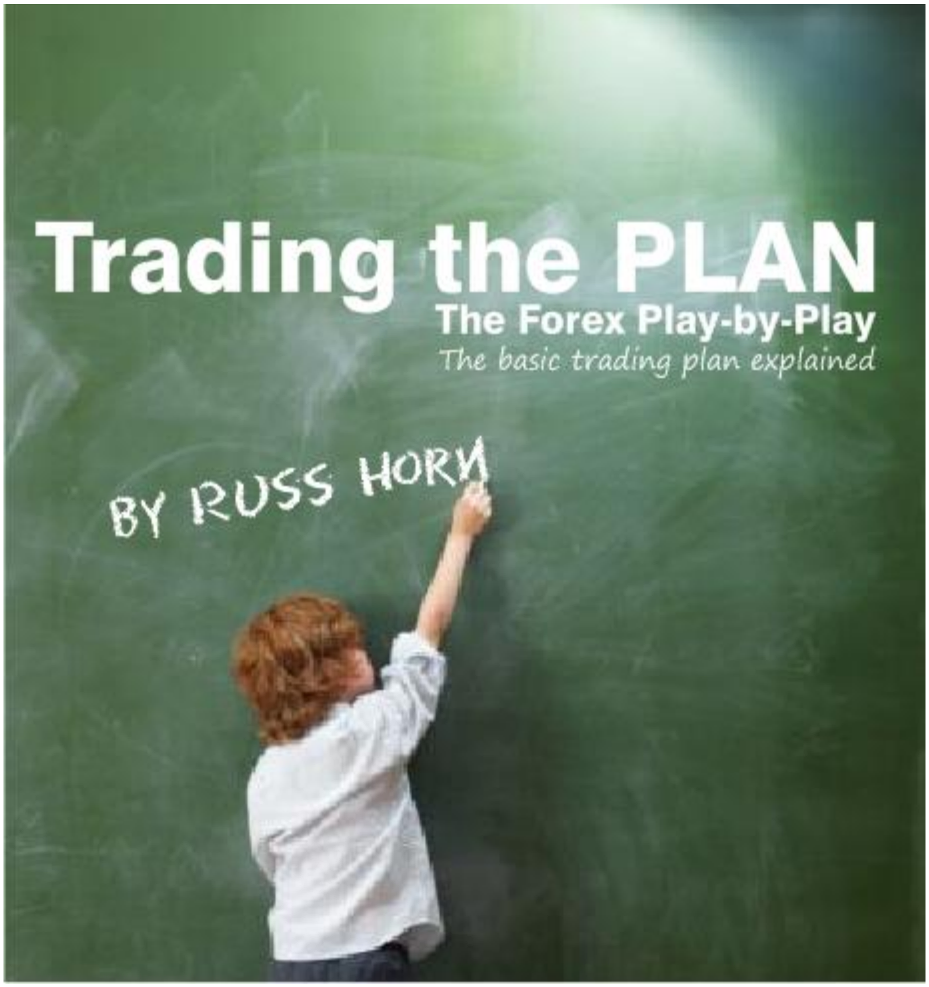

Risk Disclosure

Trading foreign exchange on margin carries a high level of risk, and may not be suitable for all investors. The high degree of leverage can work against you as well as for you. Before deciding to trade foreign exchange you should carefully consider your investment objectives, level of experience, and risk appetite. The possibility exists that you could sustain a loss of some or all of your initial investment and therefore you should not invest money that you cannot afford to lose. You should be aware of all the risks associated with foreign exchange trading, and seek advice from an independent financial advisor if you have any doubts.

The information contained in this ebook is designed to teach you methods of trading foreign currencies. Russ is not liable if, based upon the information you read here, you lose money, make money, or become a trading superstar.

http://www.rapidresultsmethod.com

Trading the Plan

Wanting to trade is awesome!

Finding yourself a great trading system is awesomer!

Deciding you want to be a full time trader is the awesomest!

Now what? You have decided that you want to trade your way to riches. It's a good idea, many traders have done it. Traders are making themselves millionaires every day. So, how are you going to do it?

Chances are that you won't do very well, statistically speaking. I know you have the best intentions and right now you may be full of energy and desire, but after a few weeks of constant trading you will find it's not as appealing anymore.

The problem will most likely be a lack of direction. Wanting to trade and make a bunch of money is essentially what we are trading for, but there has to be more to it than that.

What you need to stay on track is a Trading Plan!

Everyone will have a trading plan that is unique to themselves. Yours will have to be tailored to fit your goals, your trading times, and your approach to the market and so on. In order to take your initial $1000 account to something that can change your life will need focus and a thought out plan of attack.

Trading is a business and should be approached and treated in that way, even if you are trading in your pajamas from home. No business becomes successful without a business plan, and your trading plan will your business plan. It will help get rid of any blind spots and give you the direction you need.

What should your trading plan cover?

Your trading plan should cover everything you can think of trading-wise. Trading involves so much more than just your trading system, although your system is an important part of your plan.

Many trades plans are very simple and basically cover the trading system's rules. You can write your plan in a single paragraph if this is the case.

I prefer to go a little further. Since you will be doing this only once in a while, it makes sense to go the extra mile, it serves a good purpose.

Let's cover what my Trading Plan looks like, this will give you an idea for yours: You will see the point in bold, a description below that, and below the description you will see my personal response in italics.

1. **What is the reason you are trading?**

   What is the motivating reason you are trading? More than just money, what's the objective.

   (Early retirement, paid off house, kids in college, free of debt in general)

2. **What is your long-term goal?**

   What is your financial objective in 5 to 10 years from now?

   (10 million dollars)

3. **What is your mid-term goal?**

   What is your financial objective for the next 1 – 2 years?

   (1 million dollars)

4. **What is your short-term goal?**

   This can be a weekly or monthly financial goal.

   (A 20% monthly gain in my trading account)

5. **What currency pairs will you trade?**

   Will you focus on a few pairs or several?

   (EURUSD, EURJPY, GBPUSD, AUDUSD, USDCAD, USDJPY)

6. **What is your maximum risk per trade?**

   This will usually be a percentage of your total account size.

   (I will risk a maximum of 2% on each position)

7. **What is your maximum exposure at any given time?**

   This will be the combined risk of all your simultaneously open positions.

   (My max exposure will be 6%)

8. **What is your maximum loss amount for the trading day?**

   This will be a total percentage loss of your trading account before you quit for the day.

   (My max daily loss will be 6%)

9. **What is your maximum number of trades for the day?**

   To avoid over trading, set a maximum number of trades for the day.

   (I will take as many as 5 trades (win or lose) in one day)

10. **How many losing trades will you take before you quit for the day?**

    To avoid giving too much of your money to the market, it's a good idea to quit after a certain number of losing trades.

    (If my first 2 trades are losers, I will quit trading for the day)

11. **How many winning trades will you take before you quit for the day?**

    To avoid giving your money back to the market, it's a good idea to quit after a certain number of winning trades.

    (If my first 2 trades are winners, I will quit trading for the day)

12. **What is your trading schedule?**

    How many days a week, what time of day and for how long will you be trading?

    (4 days a week, Tuesday – Friday, for 3 hours a day from 1am – 4am MST)

13. **What is your win - loss ratio?**

    Knowing your win loss ratio is very important. This will help you take your losses in stride. Knowing that your ratio is certain percentage, you will not be surprised with your losses when they happen, freeing you up to continue trading.

    (70% winners, 30% losses and breakevens)

14. **Will you consider Economic News before you trade?**

    Will your consult a news calendar before you trade?

    (I check http://www.forexfactory.com/calendar.php before every trading session, if there is influential news I will not trade)

15. What indicators/price action/trading system do you use?

Do you use an established system or one you created?

(I use Rapid Results Method with the original settings)

16. What Timeframe(s) will you trade?

Will you trade a single timeframe or do you watch several?

(I will trade the 15 minute timeframe using the 1 hour for trade confirmation)

17. What will trigger an entry?

What are the specific details about the entry signal you take?

(Trade a trend-following ribbon/ghost/shark setup and also look to divergence counter-trend trades. I will also watch for lead line trendline trade setups)

18. How will you get out in profit?

Will you have a target or a pip count or a trailing stop of some kind?

(I will allow my trades to run using the DPI overbought/oversold exit strategy)

19. How will you get out at a loss?

How do you place your stops, if you do, and do you move your stops?

(I will place my initial stop just beyond the PSAR and trail my stop along the PSAR dot)

20. How do you feel before you start trading?

Trading requires your full concentration, so if you are feeling ill or frustrated or distracted or tired or in pain, you might want to consider not trading.

(If I am distracted in any way, I will not trade)

21. How should you feel when you win?

What is your ideal emotional response to a winning trade?

(I will feel happy about the win, but don't want to get too excited about it)

22. How should you feel when you lose?

What is your ideal emotional response to a losing trade?

(I won't like losing the trade, but I won't let it get to me, I can easily shrug it off. I will take the next trade as usual)

The above is a nice outline for a comprehensive trading plan. It doesn't need to be any longer than a couple of pages, but it should include more than just your trading system.

Having a trading system with rules you can follow is a good start, but if you don't have a destination in mind, you will find it hard to arrive. Your trading plan will be your roadmap. It's much easier to get where you want when you have a detailed set of instructions guiding the way.

The goal becomes clearer, and hopefully now you won't be trading one trade at a time. Each trade you take is part of a much bigger picture. Knowing your win loss ratio is huge to helping you stay on track. If you know you win 60% of your trades, you should start looking at your trades in chunks of 20 or 30 trades. Don't let a few losers discourage you, over time the ratio will work out.

Below this page are the Trading Plan questions in a format that you can print out and answer.

Best regards and best of luck in your trading career!

Russ Horn

1. What is the reason you are trading?

2. What is your long-term goal?

3. What is your mid-term goal?

4. What is your short-term goal?

5. What currency pairs will you trade?

6. What is your maximum risk per trade?

7. What is your maximum exposure at any given time?

8. What is your maximum loss amount for the trading day?

9. What is your maximum number of trades for the day?

10. How many losing trades will you take before you quit for the day?

11. How many winning trades will you take before you quit for the day?

12. What is your trading schedule?

13. What is your win - loss ratio?

14. Will you consider Economic News before you trade?

15. What indicators/price action/trading system do you use?

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21. How should you feel when you win?

22. How should you feel when you lose?

Additional Notes: